

Economics Test – 6

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Q1. The minimum requirement of microfinance loans for NBFC-MFIs is _____.

A. 75 % of the total assets

- B. 75 % of the total equity
- C. 90 % of the total assets
- D. 80 % of the total equity

Solution: 75% of the total assets. Non-Banking Financial Company - Micro Finance Institution (NBFC-MFI): A type of financial institution that provides financial services, including microloans and other financial products, to low-income and economically vulnerable individuals, especially in rural and underserved areas. These institutions focus on catering to the needs of small borrowers who have limited or no access to traditional banking services.

Q2. What are the two variables whose relationship is given by the environmental Kuznets curve?

- A. Environmental degradation and tax revenue
- B. Environmental degradation and per capita income**
- C. Inequality and tax revenue
- D. Inequality and per capita income

Solution: The environmental Kuznets curve depicts the relationship between environmental degradation and per capita income.

Q3. Which of the following is true about transfer payments in relation to personal income?

- A. Transfer payments are included in personal income.**
- B. Transfer payments have no impact on personal income.
- C. Transfer payments are included in personal income only for businesses
- D. Transfer payments are excluded from personal income.

Solution: A transfer payment is a one-way payment to a person or organization which has given or exchanged no goods or services for it. This contrasts with a simple "payment," which in economics refers to a transfer of money in exchange for a product or service. Examples of transfer payments - Old age pensions, social security benefits, state pension, civil service benefits, public health services, etc.

Q4. The Eighth five year plan was finally launched in _____ after the initiation of structural adjustment policies.

- A. 1992**
- B. 1989
- C. 1991
- D. 1990

Solution: 1992. The Eighth Plan (1992-97) could not be implemented in 1990 due to political uncertainty at the Centre, and the years 1990-91 and 1991-92 were treated as Annual Plans. Other Five year Plans: First Plan (1951-56), Second Plan (1956-61), Third Plan (1961-66), Three Annual Plans (1966-69) - Euphemistically described as a Plan holiday. Fourth (1969-74), Fifth Plan (1974-79), Rolling Plan (1978-80), Sixth Plan (1980-85), Seventh Plan (1985-90).

Q5. Effect of The Industrial Policy, 1956 on industries was _____.

A. industries started to get diversified

- B. India become self-sufficient in industrial goods
- C. imports of those goods which could be produced in India itself was avoided
- D. industries share fell in the GDP during 1991

Solution: Industrial Policy Resolution of 1956 (IPR 1956, Economic Constitution of India) is a resolution adopted by the Indian parliament in April 1956. It led to the establishment of a socialistic pattern in society. It divided the industries into 3 categories based on management: reserved for the Public sector, open for both public and private, and open for the private sector. To meet new challenges, from time to time, it was modified through statements in 1973, 1977, and 1980.

Q6. Which five-year plan emphasized on the development of industries and industrial base in India?

- A. Second**
- B. Fourth
- C. Third
- D. First

Solution: Second (1956 - 1961). The plan followed the Mahalanobis model. First (1951 - 1956): It was based on the Harrod Domar Model (Mainly focused on the development of the primary sector). Third (1961-1966) - Mainly focus was to strengthen the economy of India and make it self-reliant and self-sufficient. Fourth (1969 - 1974) - Mainly focus on expansion with stability and gradual self-sufficiency.

Q7. Which of the following is an institutional source of credit in India?

- A. Money lenders
- B. Commission agents
- C. Traders
- D. Commercial banks**

Solution: Commercial banks - These are profit-based institutions that provide financial services like loans, as well as services like deposits, electronic transfers of funds, etc. Other Institution sources of credit in India :- Regional rural banks (RRBs), cooperatives, land development banks. Regional rural banks (RRBs) were set up in 1975 under the recommendations of the Narasimham Committee.

Q8. Which of the following can be referred to in the estimation of poverty?

- A. Average Marginal Utility
- B. Maximum Support Value
- C. Minimum Support Price
- D. Monthly Per Capita Expenditure**

Solution: Monthly Per Capita Expenditure - Total expenditure divided by the total population of a given economy. Poverty Estimation in India : It is based on the income or consumption levels and if the income or consumption falls below a given

minimum level, then the household is said to be Below the Poverty Line (BPL). It is carried out by NITI Aayog's task force through the calculation of poverty line based on the data captured by the National Sample Survey Office under the Ministry of Statistics and Programme Implementation (MOSPI).

Q9. Why is PC Mahalanobis' name talked about in the context of Five-Year Plans?

- A. He was the chairman of the Planning Commission.
- B. He established the Institute of Economic Growth.
- C. He conceptualized the framework for the Second Five-Year Plan.**
- D. He was the finance minister during the First Five-Year Plan period.

Solution: P.C. Mahalanobis : He is considered as the father of statistics in India and the founder of the Indian Statistical Institute (Kolkata). National Statistics Day – 29 June (birth anniversary of statistician P.C. Mahalanobis). Awards – Padma Vibhushan (1968), Order of the British Empire (1942). The First Five-Year Plan was based on the Harrod-Domar model (1951-1956).

Q10. What is the main role of commercial banks in the economy?

- A. To promote economic growth and development**
- B. Regulating the stock market
- C. control on inflation
- D. Management of foreign exchange reserves

Solution: Other functions of commercial Banks : Accepting Deposits (Savings, Currents, Fixed), Lend money to people and businesses, Provide Locker to Customers, Deals with foreign exchanges etc. Commercial Banks are regulated by Reserve Bank of India (RBI) under Banking Regulation Act, 1949. Function of RBI – Management of foreign exchange reserves, control on inflation, issues notes, serve as Bank of commercial Banks. Securities and Exchange Board of India (SEBI) Regulates the stock market.

Q11. Which of the following is not included in domestic income?

- A. Income earned by the residents of the country
- B. Income earned by the non-residents outside the country**
- C. Income earned by all the employees of the country
- D. Profit of all the industries of the country

Solution: Domestic Income – Refers to the total income earned by residents (including individuals and businesses) of a country within the country's borders over a specific period; Components – Salaries, rents, interests, and profits earned within a country; Calculation – National Income Minus Net Factor Income from Abroad (NFIA). National income – Refers to the total income earned by residents (including individuals and businesses) of a country irrespective of the location, within or outside the country's borders over a specific period.

Q12. What is the objective of the 'Doughnut Model' of development?

- A. It envisions total abandonment of technology to live at peace with the environment .
- B. It envisions the food processing industry as the center of

development .

C. It envisions rapid development at an environmental cost, then makes up for it later.

D. It envisions a world in which people and the planet can thrive in balance.

Solution: The objective of the ' Doughnut Model ' of development is to envision a world in which people and the planet can thrive in balance. The Doughnut model of economics was proposed by Kate Raworth .

Q13. Which of the following methods is used to calculate national income by summing up the total spending on final goods and services in an economy?

- A. Value-added method
- B. Output method
- C. Expenditure method**
- D. Income method

Solution: Expenditure method. Output method – Measures the monetary or market value of all the goods and services produced within the borders of the country. GDP (as per output method) = Real GDP (GDP at constant prices) – Taxes + Subsidies. Income Method – It measures the total income earned by the factors of production, that is, labour and capital within the domestic boundaries of a country. GDP (as per income method) = GDP at factor cost + Taxes – Subsidies.

Q14. Read the following about Commercial Banks in India. A. Commercial banks are the other type of institutions which are a part of the money-creating system of the economy. B. They accept deposits from the public and lend out part of these funds to those who want to borrow. Identify the INCORRECT statement/statements.

- A. Neither A nor B**
- B. Only A
- C. Both A and B
- D. Only B

Solution: Neither A nor B. Commercial banks are key players in the money-creating system. They accept deposits from the public and lend part of these funds to borrowers. The difference between the lower interest rate paid to depositors and the higher rate charged to borrowers, known as the 'spread,' constitutes the bank's profit.

Q15. What is the meaning of the term 'Collateral' in banking ?

- A. An investment portfolio
- B. A type of credit card
- C. A form of digital payment
- D. An asset pledged as security for a loan**

Solution: Banking Terms: Assets – Any personal possessions of value (cash, real estate and investments). CASA Deposit – Deposit in bank in current and Savings. Coverage Ratio – Equity minus net NPA divided by total assets minus intangible assets. Net Interest Margin – Net interest income divided by average interest earning assets.

Q16. M 2 is one of the measures of money supply. M 2 is the sum of M₁ + _____.

- A. saving deposits with post office**
- B. National Saving Certificates
- C. coins and currency notes

D. demand deposits

Solution: Saving deposits with the post office. M1, M2, M3, M4 is the measure of money supply. M1 is the most liquid and makes transactions the easiest, while M4 is the least liquid. M1, M2 – Narrow Money. M3, M4 – Broad Money. M1 = Currency with the public + Demand deposits in bank + Other deposits with RBI. M3 = M1 + Time Deposits with the banks. M4 = M3 + Total Deposits with Post Office Savings Organisation.

Q17. In the Industrial Policy Resolution of 1948, which of the following was NOT the monopoly of the Central Government?

- A. Iron and Steel**
- B. Atomic energy
- C. Railway
- D. Arms and ammunition

Solution: Iron and Steel. Industrial Policy Resolution (1948) declared the Indian economy as a Mixed Economy. Four categories: The exclusive monopoly of central government (arms and ammunitions, production of atomic energy, and management of railways), New undertakings were undertaken only by the state (coal, iron and steel, aircraft manufacturing, shipbuilding, telegraph, telephone, etc.), Industries to be regulated by the government (Industries of basic importance), Open to private enterprises, individuals, and cooperatives (remaining).

Q18. Which of the following statements is correct regarding five year plan in India? I. India had emerged as one of the fastest growing economy by the end of the Tenth Five year Plan. II. The Tenth Five year Plan had set 'monitorable targets' for few key indicators of development.

- A. Neither I nor II
- B. Only II
- C. Both I and II**
- D. Only I

Solution: Both I and II. The Tenth Five Year Plan of India (2002–2007) was an economic development plan formulated by the then Prime Minister Atal Bihari Vajpayee. The plan's salient features were to promote inclusive growth and equitable development. Target growth rate: 8%. Growth rate achieved: 7.6%.

Q19. What is the primary purpose of microfinance institutions (MFIs) in India?

- A. To promote consumer spending among middle-class households
- B. To offer financial services exclusively to large businesses
- C. To provide small loans to low-income individuals**
- D. To facilitate foreign investment in the Indian economy

Solution: Microfinance Institutions are financial institutions that provide small loans to low-income individuals. Microloans, micro-savings, and microinsurance are examples of these services. Bandhan Financial Services Pvt Ltd was the first microfinance institution in the country to win a bank license in 2014 by RBI.

Q20. Which of the following statements is related to positive economics?

- A. Inflation is better than deflation.
- B. Inequalities in the distribution of wealth and incomes

should be reduced.

C. More production of luxury goods is not good for a less developed country.

D. An increase in money supply implies a price rise in an economy.

Solution: An increase in money supply implies a price rise in an economy is related to positive economics.

Q21. Which of the following methods is used to calculate national income by summing up the total incomes earned by individuals and businesses in an economy?

- A. Value-added method
- B. Output method
- C. Income method**
- D. Expenditure method

Solution: Income method: It considers various components of income, including wages, rents, profits, and taxes, to provide a comprehensive view of the nation's economic performance. Expenditure Method is a method of calculating gross domestic product (GDP) that includes net exports, government spending, consumption, and investment. Product method (Output method or value added method): A Method calculates the national income in terms of final goods and services produced in an economy during a particular period of time.

Q22. _____ is an alphanumeric code that uniquely identifies a bank-branch participating in the NEFT system.

- A. IFSC**
- B. STP
- C. SFMS
- D. RTGS

Solution: IFSC is an alphanumeric code that uniquely identifies a bank branch participating in the NEFT system. Indian Financial System Code (IFSC) is a unique eleven-digit number that is a combination of alphabets and numerals. It is used to transfer funds online for NEFT, IMPS, and RTGS transactions.

Q23. Which of the following is one of the Open Market Operations by the Reserve Bank of India?

- A. Buying and selling of bonds issued by the Government in the open market**
- B. Buying and selling of bonds issued by commercial banks in the open market
- C. Only buying of bonds issued by the Government in the open market
- D. Only selling of bonds issued by the Government in the open market

Solution: Open Market Operations is the selling and purchase of government securities and treasury bills by the RBI (the country's central bank). Participants – All Scheduled Commercial Banks, Financial institutions, and retail investors (by opening gilt accounts with the Central Bank). Operation Twist – the simultaneous buying and selling of Government securities through Open Market Operations of nearly Rs.10000 crores each.

Q24. Who among the following economists coined the terminology 'Hindu Rate of Growth'?

- A. Amiya Bagchi
- B. Vijay Kelkar
- C. Raj Krishna**
- D. Bimal Jalan

Solution: The terminology 'Hindu Rate of Growth' was coined by Raj Krishna. The Hindu rate of growth is a term referring to the low annual growth rate of the economy of India before the economic reforms of 1991, which stagnated around 3.5% from 1950s to 1980s, while per capita income growth averaged around 1.3%.

Q25. National Rural Employment Guarantee Act 2005. It promises _____ days of guaranteed wage employment to all rural households in India who volunteer to do unskilled manual work.

- A. 365
- B. 90
- C. 100**
- D. 180

Solution: 100. Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA) is one of the largest work guarantee programmes in the world. Launched in 2005 by the Ministry of Rural development. Aim - To provide 100 days of employment per financial year to rural adults willing to do unskilled manual work at the minimum wage.

Q26. The _____ and _____ determine the corridor for the daily movement in the weighted average call money rate.

- A. Reverse repo, discount rate
- B. Marginal standing facility, Reverse repo rate**
- C. Liquidity adjustment facility, repo rate
- D. Bank rate, repo rate

Solution: The Marginal standing facility (MSF) and Reverse repo rate determine the corridor for the daily movement in the weighted average call money rate. MSF is a penal rate (above the repo rate) at which banks can borrow money from RBI when they are completely exhausted of all borrowing assistance. The Reverse Repo Rate is the rate at which the Reserve Bank of India (RBI) borrows money from banks for the short term. Repo rate is the rate at which the central bank (RBI) of a country lends money to commercial banks for short period of time.

Q27. _____ are known as narrow money.

- A. M1 and M2**
- B. M2 and M4
- C. M3 and M2
- D. M1 and M4

Solution: M1 and M2 - Narrow money. M1 includes only 100% liquid deposits. The size of Post Office Savings is negligible in M2. M2 = M1 + Savings account deposits with Post Offices. M3 is called Broad money as along with liquid deposits it also includes time deposits. M3 = M1 + Time Deposit. M4 = M3 + Total Deposits with Post Office.

Q28. Which term is used to denote the mean income computed for every man, woman, and child in a particular group including those living in group quarters?

- A. Per capita income**

- B. Per hundred income
- C. GDP
- D. PRCS

Solution: Per capita income. Gross Domestic Product (GDP) is the total value of all final goods and services produced in a country within a specific period of time. Calculation of GDP : $GDP = \text{Consumption} + \text{Investment} + \text{Government Spending} + \text{Net Exports}$.

Q29. The GDP estimation method measuring the aggregate value of goods and services produced by the firms is called _____

- A. expenditure method
- B. consumption method
- C. income method
- D. product method**

Solution: Product methods (GDP) estimates the national income by measuring the contribution of final output and services by each producing enterprise in the domestic territory of a country during a given accounting period. Expenditure method (Consumption Method) - the expenditure method of calculating national income or gross domestic product takes into account the final goods and services produced in a country during a period of time. The Income method measures the total income earned by the factors of production, that is, labour and capital within the domestic boundaries of a country.

Q30. 12. Who released a special stamp entitled 'Wheat Revolution' in July 1968?

- A. Mahatma Gandhi
- B. Jawaharlal Nehru
- C. Indira Gandhi**
- D. Motilal Nehru

Solution: Indira Gandhi released a special stamp entitled 'Wheat Revolution' in July 1968. The Wheat Revolution (Green Revolution) was initiated in the 1960s {under the Third Five Year Plan (1961-66)} by introducing high-yielding varieties of rice and wheat. Father of the Green Revolution in India - M S Swaminathan.

Q31. The proportion of the population below the poverty line is called the poverty ratio or _____.

- A. Income Disparity Index
- B. headcount ratio**
- C. Socioeconomic Quotient
- D. Gini Coefficient

Solution: headcount ratio. Gini Coefficient - It measures the degree of income equality in a population. It can vary from 0 (perfect equality) to 1 (perfect inequality). A Gini Coefficient of zero means that everyone has the same income, while a Coefficient of 1 represents a single individual receiving all the income.

Q32. Which type of tax acts as an automatic stabiliser in the economy?

- A. Professional tax
- B. Wealth tax
- C. Capital gains tax
- D. Proportional income tax**

Solution: Proportional income tax (flat tax) levies the same percentage tax to everyone regardless of income. Professional tax is a tax that is levied by a state government on all individuals who earn a living through any medium. A wealth tax is a tax based on the market value of assets owned by a taxpayer. A capital gains tax is the tax on profits realized on the sale of a non-inventory asset.

Q33. An economy in which both the private sector and the government are involved is known as a/an _____ economy .

- A. mixed
- B. blended
- C. parallel
- D. amalgam

Solution: An economy in which both the private sector and the government are involved is known as a mixed economy. An Indian economy is a mixed form of economy.

Q34. In which Five-Year Plan was the process of economic reforms introduced in India?

- A. Tenth
- B. Fifth
- C. Eighth
- D. Sixth

Solution: Eighth (1992 - 1997). First five-year plan (1951 to 1956): Focused on the agricultural growth of the country, It was based on the Harrod-Domar model. Second Five-Year Plan (1956 to 1961): Focused on the industrial growth of the country. Fifth Five-Year Plan (1974 to 1978): Focussed on Garibi Hatao , employment, justice, agricultural production and defense. Sixth five-year plan (1980 to 1985). Tenth five-year plan (2002 to 2007).

Q35. Which branch of economics deals with the depletion of natural resources stock and pollution, which are a result of rapid economic development ?

- A. Environmental Economics
- B. Developmental Economics
- C. International Economics
- D. Public Economics

Solution: Environmental Economics. Development economics deals with the economic aspects of the development process in low-income countries. Public economics is the study of government policy through the lens of economic efficiency and equity. International economics is concerned with the effects on economic activity from international differences.

Q36. Which of the following is a characteristic of human wants in terms of economics ?

- A. Wants are limited.
- B. Wants do not become habits.
- C. Wants are satiable.
- D. Wants are not competitive.

Solution: ' Wants are satiable ' is a characteristic of human wants in terms of economics. All the desires, aspirations and motives of humans are known as human wants in economics. And the wants that can be satisfied with goods and services of any kind are economic wants. For eg . food , shelter,

clothing etc are common economic human wants.

Q37. What is the main function of money in an economy ?

- A. To regulate interest rates
- B. To create wealth
- C. To facilitate exchange
- D. To control inflation

Solution: to facilitate exchange. Primary functions of money : Medium of exchange, measure of value. Secondary Functions / Derivative functions : Store of value, deferred payment, Transfer of Value / Purchasing Power. Types of money : Fiduciary money, fiat money, commodity money, legal tender money and cryptocurrency.

Q38. What do you call the amount of monetary or other returns, either earned or unearned, accruing over a period of time?

- A. Price
- B. Value
- C. Services
- D. Income

Solution: The amount of monetary or other returns , either earned or unearned, accruing over a period of time is called Income. There are three types of income - earned, portfolio and passive. Earned income consists of income you earn while you are working a full-time job or running a business. Passive income is income earned from rents, royalties, and stakes in limited partnerships. Portfolio income is income from dividends, interest, and capital gains from stock sales.

Q39. Industries are classified into _____ categories in the Industrial Policy Resolution.

- A. five
- B. four
- C. three
- D. two

Solution: Three . The Industrial Policy Resolution (IPR) 1956. Category 1: Those industries that were established and owned exclusively by the public sector. Category 2: Those industries in which the public sector would perform the primary role while the private sector would play the secondary role. Category 3: Those industries that are not included in Category 1 and Category 2 we re left to the private sector.

Q40. Which of the following statements best defines a Micro Finance Institution (MFI)?

- A. MFIs are investment firms that cater exclusively to high-net-worth individuals.
- B. MFIs are non-profit organisations that provide financial services to low-income individuals and small businesses.
- C. MFIs are banks that provide loans only to large corporations.
- D. MFIs are government agencies that regulate the microfinance sector.

Solution: Microfinance, also called microcredit, is a type of banking service provided to low-income individuals or groups who otherwise wouldn't have access to financial services. The concept of microfinance originated from the Self Help Group Bank Linkage Programme (SHG-BLP) that emerged as a result

of an action research project conducted by MYRADA in 1989, commissioned by NABARD.

Q41. Micro credit or micro finance is a novel approach to banks with poor. In this approach bank credit is extended to the poor through _____ .

- A. co-operative credit societies
- B. RBI
- C. self-help groups**
- D. anganwadees

Solution: Self-help groups (SHGs) are informal associations of people who choose to come together to find ways to improve their living conditions. NABARD (National Bank For Agriculture And Rural Development): launched the SHGs Bank Linkage Project in 1992. Formation - 12 July 1982. Headquarters - Mumbai. RBI (Reserve Bank of India): Founded - 1 April 1935. Headquarters - Mumbai.

Q42. GDP deflator = _____

- A. $(\text{Nominal GDP} \times \text{Real GDP}) \times 100$
- B. $(\text{Nominal GDP} + \text{Real GDP}) \times 100$
- C. $(\text{Nominal GDP} - \text{Real GDP}) \times 100$
- D. $(\text{Nominal GDP} / \text{Real GDP}) \times 100$**

Solution: $(\text{Nominal GDP} / \text{Real GDP}) \times 100$. Gross national product (GNP) is the value of all finished goods and services produced by a country's citizens, both domestically and abroad. $\text{NNP} = \text{GNP} - \text{Depreciation}$.

Q43. What is the purpose of a savings account?

- A. Obtaining a mortgage loan
- B. Earning interest on deposits**
- C. Making day-to-day transactions
- D. Paying bills online

Solution: Earning interest on deposits: It is paid by a bank or financial institutions to account holders who have deposited with them. Types of accounts: Real - Accounts that deal with properties, assets, or possessions are known as real accounts. Personal - They are associated with an individual, a company, a firm, or a collection of associations, among other things. Nominal - associated with any type of revenue or spending, gain or loss.

Q44. What was the duration of Rolling Plan in India?

- A. 1975 to 1977
- B. 1977 to 1979
- C. 1976 to 1978
- D. 1978 to 1980**

Solution: Rolling Plan (1978-80) was launched by the Janta government. It terminated the 5th Five-year Plan (1974-1979) in 1977-78 and launched its own 6th Five-year Plan (1980-85) for the period of 1978-83 and called it a Rolling plan. Focus: to increase the GDP of the country, to decrease disparities in regional development, and to make the market competitive.

Q45. Net Investment plus Depreciation gives an estimate of which of the following

- A. Gross Domestic Product
- B. Personal income

C. Gross investment

D. Private investment

Solution: Gross Investment. Other Economic terms: Gross Domestic Product - Final monetary value of the goods and services produced within the country during a specific period of time. It is released by the National Statistical Office (NSO). Net National Product (NNP) - Total value of finished goods and services produced by a country's citizens overseas and domestically, minus depreciation.

Q46. Which of the following five year plan of India was a complete failure?

- A. Seventh Five Year Plan
- B. Third Five Year Plan**
- C. First Five Year Plan
- D. Sixth Five Year Plan

Solution: Third Five Year Plan (1961 - 66) : Target Growth: 5.6%, Actual Growth: 2.8%. The Plan was a complete failure in reaching the targets due to unforeseen events - Chinese aggression (1962), Indo-Pak war (1965), severe drought (1965-66).

Q47. Which of the following is an example of revenue expenditure in the government budget? Years ?

- A. Construction of new highway
- B. Investment in a state owned company
- C. Payment of salaries of government employees**
- D. Repayment of loan

Solution: Revenue Expenditure : Expenditure incurred for purposes other than the creation of physical or financial assets of the central government. Example - Salaries, wages, pensions, subsidies, and interest payments. Capital expenditure - Government's expenditure which results in creation of physical assets or reduction in financial liabilities. Examples - Repayment of loans, purchase of machinery, Investment in a state owned company, loans and advances.

Q48. Which of the following measures of money supply is most liquid?

- A. M3
- B. M2
- C. M4
- D. M1**

Solution: M1. $M1 = \text{Currency held by the public (CU)} + \text{Net demand deposits held by commercial banks (DD)}$. M1 is most liquid and easiest for transactions whereas M4 is least liquid of all. M3 is the most commonly used measure of money supply, also known as aggregate monetary resources. M1 and M2 are known as narrow money. M3 and M4 are known as broad money.

Q49. Read the following statements about Money. A. Money also acts as a convenient unit of account. B. The value of all goods and services can be expressed in monetary units. Identify the CORRECT statement/statements.

- A. Both A and B**
- B. Neither A nor B
- C. Only A
- D. Only B

Solution: Both A and B. The first and foremost role of money is that it acts as a medium of exchange. Economic exchanges without the mediation of money are referred to as barter exchanges. A barter system refers to a system in which goods are exchanged for other goods.

Q50. How many industries were listed in Schedule A of Industrial Policy, 1956?

- A. 16
- B. 17**
- C. 10
- D. 12

Solution: 17. The 1956 policy divided the industries into 3 categories based on management. Schedule A Industries : It consisted of 17 industrial areas which were under the Central Government. Schedule B Industries : It consisted of 12 industries that were left to the state government to follow up with the private sector that includes compulsory licensing provisions. Schedule C Industries : It consisted of those industries which were left out of Schedule A and B and were with the private sectors and subject to licensing and regulation under the IDR Act.

Q51. Unemployment that occurs during recessions and depressions are called as _____.

- A. Disguised unemployment
- B. Frictional unemployment
- C. Seasonal unemployment
- D. Cyclical unemployment**

Solution: Cyclical unemployment – It occurs due to fluctuations in the overall economy. Disguised unemployment is unemployment with low productivity that does not affect aggregate output. Frictional unemployment is a form of unemployment reflecting the gap between someone voluntarily leaving a job and finding another. Seasonal unemployment is when people who work in seasonal jobs become unemployed when demand for labor decreases.

Q52. In India, Garibi Hatao and attainment of self-reliance was the main objective of _____.

- A. First Five Year Plan
- B. Fifth Five Year Plan**
- C. Seventh Five Year Plan
- D. Third Five Year Plan

Solution: Fifth Five Year Plan (1974–79) : Its target Growth was 4.4% and Actual Growth was 4.8%. It proposed to achieve two main objectives: 'removal of poverty' (Garibi Hatao) and 'attainment of self reliance'. The final Draft of the fifth plan was prepared and launched by D.P. Dhar. The objectives of Fourth Plan were "Growth with stability" and "Progressive achievement of self reliance".

Q53. _____ are those where a monthly installment is deposited in the accounts every month.

- A. savings bank deposits
- B. reinvestment deposits
- C. fixed deposits
- D. recurring deposits**

Solution: Recurring Deposit is the savings through regular

monthly deposits of a fixed sum over a period. A Savings bank deposit is held at a financial institution that provides principal security and a modest interest rate. A Reinvestment deposit is a reinvestment of the interest earned on your deposit. A Fixed deposit is an investment instrument that allows you to invest a lump-sum amount for a chosen tenure to earn interest at a fixed rate.

Q54. In the context of agricultural costs in India, what is MSP?

- A. Model Stability Product
- B. Midterm Supply Plan
- C. Maximum Selling Price
- D. Minimum Support Price**

Solution: MSP is known as the Minimum Support Price. It is a guaranteed minimum price for agricultural produce which is decided by the Government of India to purchase directly from the farmers. It provides economic security to the farmers.

Q55. In which of the following years was the Planning Commission of India set up?

- A. 1945
- B. 1950**
- C. 1958
- D. 1962

Solution: The Planning Commission was set up by a resolution of the Government of India in March 1950 with the Prime Minister as the ex officio chairman. Formulating a plan for the most effective and balanced utilization of the country's resources has been one of its functions. It was scrapped in 2014 and replaced by NITI Aayog in 2015.

Q56. What is personal income?

- A. The income earned by individuals and households after taxes and other deductions
- B. The total income earned by businesses and corporations in an economy
- C. The income earned by individuals through their own business or self-employment
- D. The total income earned by individuals and households before taxes and other deductions**

Solution: Personal Income (PI) $\equiv$ National Income – Undistributed profits – Net interest payments made by households – Corporate tax + Transfer payments to the households from the government and firms. Private income is income obtained by private individuals from any source, productive or otherwise, and the retained income of corporations.

Q57. Which of the following is NOT a feature of food security?

- A. Availability
- B. Affordability
- C. Acceptability**
- D. Accessibility

Solution: Acceptability is not a feature of food security. The four features of food security are availability, accessibility, utilization, and stability.

Q58. In a capitalist society the goods produced are distributed among people .

- A. only on the basis of what people need
- B. on the basis of what people need and on the basis of Purchasing Power
- C. not on the basis of Purchasing Power
- D. not on the basis of what people need but on the basis of Purchasing Power**

Solution: There are three types of economic systems namely – capitalist, socialist and mixed economy. In a socialist society the government decides what goods are to be produced in accordance with the needs of society. In a mixed economy, the market will provide whatever goods and services it can produce well, and the government will provide essential goods and services which the market fails to do.

Q59. SHG promotes thrift in small proportion by a minimum contribution from each member of the group. What does 'H' stand for in SHG?

- A. Habitat
- B. Harvest
- C. Heavy
- D. Help**

Solution: In SHG, H stands for 'help'. SHG promotes thrift in small proportion by a minimum contribution from each member of the group. Self-Help Groups (SHGs) are informal associations of people who choose to come together to find ways to improve their living conditions. It can be defined as a self-governed, peer-controlled information group of people with similar socio-economic backgrounds and having a desire to collectively perform a common purpose.

Q60. Why is it important to distinguish between final and intermediate goods/services in national income accounting?

- A. It helps in tracking changes in consumer preferences and market demand.
- B. It helps in more accurate measurement of economic growth and productivity.**
- C. Provides insight into the distribution of income among different sectors.
- D. It helps in determining the overall quality of goods and services produced.

Solution: National income means sum total of factor incomes. National Income = Net National Product – indirect taxes + subsidy. Only Final Goods are included in the National Income while Intermediate Goods are not included in the National Income. Final Goods – Goods that do not require further processing. Intermediate Goods – Goods that require further processing for becoming a final good.

Q61. Bombay Stock Exchange became the first stock exchange in India to launch commodity derivatives contracts in gold and _____.

- A. diamond
- B. silver**
- C. platinum
- D. equity

Solution: The Bombay Stock Exchange (BSE) became the first stock exchange in India to introduce commodity derivative contracts in gold and silver. BSE was established in 1875 by cotton trader Premchand Roychand and is located at Dalal Street, Mumbai. It is the oldest stock exchange in Asia.

Q62. Where is the corporate office of RBL Bank located?

- A. Patna
- B. Mumbai**
- C. Srinagar
- D. Bengaluru

Solution: The corporate office of RBL Bank is located in Mumbai. RBL Bank, formerly known as Ratnakar Bank, is an Indian private sector bank headquartered in Mumbai. It was founded in 1943.

Q63. Which of the following is one of the three 'Domestic Systemically Important Banks' in India?

- A. SBI**
- B. Federal Bank
- C. RBL Bank
- D. Axis Bank

Solution: State Bank of India (SBI) is one of the three 'Domestic Systemically Important Banks' (D-SIB) in India. Systemically important banks are considered as "too big to fail". These banks are large in size and have complex judicial systems. SBI, ICICI Bank and HDFC Bank are D-SIBs, which means that the distress or failure of these banks will have an impact on the domestic economy.

Q64. Read the following about Deficit reduction. A. Government deficit can be reduced by an increase in taxes or reduction in expenditure. B. In India, the government has been trying to increase tax revenue with greater reliance on direct taxes (indirect taxes are regressive in nature – they impact all income groups equally). Identify the CORRECT statement/statements

- A. Neither A nor B
- B. Only A
- C. Both A and B**
- D. Only B

Solution: Both A and B. The government can reduce the deficit by increasing taxes or reducing expenditure. In India, efforts have focused on increasing tax revenue, particularly through direct taxes, and raising funds from PSU share sales. Additionally, the government has prioritized reducing expenditure by improving efficiency and administration in government activities.

Q65. Personal disposable income (PDI) can be defined as _____.

- A. PI + Personal tax payments + Non-tax payments
- B. PI + Personal tax payments – Non-tax payments
- C. PI – Personal tax payments – Non-tax payments**
- D. PI – Personal tax payments + Non-tax payments

Solution: Personal Disposable Income (PDI) equals the amount of money available to the household for saving and spending after the deduction of all forms of taxes. $PDI = \text{Personal Income} - \text{Personal tax payments} - \text{Non-tax payments}$.

Q66. Which of the following is a key objective of Micro Finance Institutions in India?

- A. Providing loans exclusively to women entrepreneurs
- B. Encouraging large-scale industrialisation
- C. Maximising profits for shareholders

D. Promoting financial inclusion and poverty alleviation

Solution: MFIs are financial companies that provide small loans to people who do not have any access to banking facilities. The definition of "small loans" varies between countries. In India, all loans that are below Rs.1 lakh can be considered as microloans. Types of institutions that offer microfinance are: Credit unions, Non governmental organisations , Commercial banks, Cooperatives.

Q67. Read the following about Capital receipts. A. All those receipts of the government which create liability or reduce financial assets are termed as capital receipts. B. The main items of capital receipts are loans raised by the government from the public which are called market borrowings, borrowing by the government from the Reserve Bank and commercial banks and other financial institutions through the sale of treasury bills, loans received from foreign governments and international organisations, and recoveries of loans granted by the central government. Identify the CORRECT statement/statements

- A. Only B
- B. Only A
- C. Neither A nor B
- D. Both A and B**

Solution: Both A and B. Revenue Receipts are the receipts of the government which neither creates liabilities nor cause any reduction in the government or public assets. Capital Expenditure refers to the money spent by the government that leads to creation of assets, such as construction of buildings, development of education and healthcare, investment in loans, etc.

Q68. Which of the following was established on the recommendation of the Hilton Young Commission?

- A. SEBI
- B. RBI**
- C. SBI
- D. NABARD

Solution: RBI (Reserve Bank of India) : India's central bank and regulatory body responsible for the regulation of the Indian banking system. Established - 1 April 1935. Headquarters - Mumbai. First Governor - Sir Osborne Smith. First Indian Governor - Chintaman Dwarkanath Deshmukh . NABARD (National Bank For Agriculture And Rural Development) - B. Sivaraman Committee. SBI (State Bank of India) - The Gorwala committee. SEBI (Securities and Exchange Board of India) - The Narasimham Committee.

Q69. Which of the following is a private good ?

- A. A good that is available to everyone to consume, regardless of who pays for it and who does not.
- B. Spillover benefits
- C. Non-rival in consumption and non-excludable
- D. A good that is consumed by a single person or household**

Solution: A private good means a good which is consumed by a single person or household. Private goods are excludable and rivalrous . Food, clothing, cars, parking spaces, etc are private goods.

Q70. Which of the following is NOT a method of measuring

national income?

A. Intermediate goods method

- B. Expenditure method
- C. Income method
- D. Product method

Solution: Intermediate goods method. Methods to measure National Income: Income Method, Product (Value Added Method), and Expenditure Method. The Expenditure method measures the income as the aggregate of all expenditures incurred by households, firms, government, and foreigners. The Income method measures national income from the side of payments made to the primary factors of production in the form of rent, wages, interest, and profit for their productive services in an accounting year. The Product method measures the national income by taking the value added to a product during the various stages of production into account.

Q71. IPR 1956 formed the basis of the _____ Five Year Plan of India.

- A. First
- B. Second**
- C. Third
- D. Fourth

Solution: IPR 1956 formed the basis of the Second Five Year Plan of India. IPR stands for Industrial policy resolution and is a resolution adopted by the Indian Parliament in April 1956. According to this resolution, the objective of the social and economic policy in India was the establishment of a socialistic pattern of society.

Q72. According to Malthusian theory, which of the following grows in geometric progression?

- A. Poverty
- B. Employment
- C. Population**
- D. Food supply

Solution: According to Malthusian theory , the population grows in geometric progression. This theory, proposed by Malthus who, stated that the human population increases geometrically, while food production increases arithmetically. Under this paradigm , humans would eventually be unable to produce enough food to sustain themselves .

Q73. Which of the following is a common financial service provided by Micro Finance Institutions?

- A. Mortgage loans for luxury homes
- B. Investment advisory services for high-net-worth individuals
- C. Credit card issuance

D. Small loans to low-income individuals for entrepreneurial activities

Solution: Micro Finance Institutions (MFI) : an organization that offers financial services (small loans) to low income populations. Types of MF Institutions - Joint Liability Group (JLG), Self Help Group (SHG), The Grameen Bank Model, Rural Cooperatives. Bandhan Bank was the first microfinance bank which got fully convertible as a scheduled commercial bank.

Q74. _____ is a state or condition in which an individual or community lacks the financial resources and essentials for a minimum standard of living.

A. Unemployment

B. Poverty

C. Unethical

D. Illiteracy

Solution: Poverty. A common method used to estimate poverty in India is based on the income or consumption levels and if the income or consumption falls below a given minimum level, then the household is said to be Below the Poverty Line (BPL). The Alagh Committee (1979) set poverty lines at 2400 calories/day for rural and 2100 calories/day for urban areas. The Rangarajan Committee (2014) revised these to Rs. 1407/month (urban) and Rs. 972/month (rural). Other poverty committees – Lakdawala Committee (1993), Tendulkar Committee (2009).

Q75. If marginal propensity to consume is denoted by c , then government expenditure multiplier can be expressed as

A. c

B. $11 - c$

C. $1/c$

D. $-1/c$

Solution: Expenditure Multiplier = $1/(1 - c)$ The expenditure multiplier shows what impact a change in autonomous spending will have on total spending and aggregate demand in the economy. Marginal Propensity to consume (c) refers to the percentage change in consumption for every one rupee of change in income.

Q76. Who among the following headed the National Income Committee?

A. PC Mahalanobis

B. VKRV Rao

C. DR Gadgil

D. BR Ambedkar

Solution: Head – PC Mahalanobis (chairman of Indian Statistical Institute). The National Income Committee (1949) calculated the National Income of India and compiled statistics. Other members – R. C. Desai, D.R. Gadgil, and V.K.R.V Rao. Now, the Central Statistics Office under the Ministry of Statistics and Programme Implementation is responsible for measuring National Income.

Q77. All monetary transfers or kinds sent by migrants to their place of origin are called -----.

A. bills

B. drafts

C. remittances

D. payments

Solution: All monetary transfers or kinds sent by migrants to

their place of origin are called remittances. In remittance, money can be transferred from one country to another country by migrants to their families and communities.

Q78. What is a government budget ?

A. A report on the economic growth of a country.

B. A plan for managing personal finances.

C. A financial statement of a government's expected revenue and expenditure for a specific period.

D. A document outlining foreign policy goals.

Solution: Main elements of the Government Budget: Budget receipts – Estimated receipts of the government from all the sources during a fiscal year. Types: Capital receipts, Revenue receipts. Budget expenditure – Estimated expenditure of the government on various developmental as well as non-developmental programs during a fiscal year. Types: Capital Expenditure, Revenue Expenditure.

Q79. Choose the correct pair from the following options.

A. Sixth Five-Year Plan – Rajiv Gandhi

B. Fifth Five-Year Plan – Indira Gandhi

C. Fourth Five-Year Plan – Jawaharlal Nehru

D. Seventh Five-Year Plan – PV Narasimha Rao

Solution: The First Five-year Plan (1951 – 1956) was launched in 1951 under the leadership of Jawaharlal Nehru. Second (1956–1961) – Jawaharlal Nehru. Third (1961–1966) – Jawaharlal Nehru. Plan Holidays (1966–1969). Fourth (1969–1974) – Indira Gandhi. Fifth (1974–1978) – Indira Gandhi. Rolling Plan (1978–1980). Sixth (1980–1985) – Indira Gandhi. Seventh (1985–1990) – Rajiv Gandhi. Annual Plans (1990–1992). Eighth (1992–1997) – P.V. Narasimha Rao. Ninth (1997–2002) – Atal Bihari Vajpayee. Tenth (2002–2007) – Atal Bihari Vajpayee and Manmohan Singh. Eleventh (2007–2012) – Manmohan Singh. Twelfth (2012–2017) – Manmohan Singh and Narendra Modi.

Q80. The Pradhan Mantri Jeevan Jyoti Bima Yojana is for Indian citizens in the age group of -----.

A. 40 to 70 years

B. 18 to 50 years

C. 29 to 55 years

D. 35 to 60 years

Solution: 18 to 50 years. It is a life insurance plan that has to be renewed every year, which is provided with the benefits of the insurance plan in case of death due to any reason. Benefits – Life cover of Rs. 2 Lakh in case of death due to any reason against a premium of Rs. 330/- per annum. Other schemes and their age eligibility: Pradhan Mantri Suraksha Bima Yojana (PMSBY) – For age group 18–70 years. Atal Pension Yojana (APY) – For age group 18 to 40 years. All the schemes were launched on 9th May 2015.